

Demand analysis V: Elasticities and Cross-Price Effects

Alejandro Melo Ponce



Stony Brook University

October 25, 2016

Summary

- Last class we derived the Slutsky Equation.

$$\frac{\partial x}{\partial p_x} = \underbrace{\frac{\partial x^c}{\partial p_x}}_{\text{Substitution Effect}} + \underbrace{-\frac{\partial x}{\partial I} \cdot x}_{\text{Income effect}}$$

which represents in a rigorous way, how demand changes with respect to its own price.